

A Pre-Budget Assessment for 2082/83 B.S.: A Fiscal Reform for Sustainable Economic Growth



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Pre-Budget Assessment
For
Fiscal Year 2082/83 B.S.

The objective of this study is to evaluate Nepal's fiscal budget trends and provide evidence-based recommendations for the upcoming national budget 2082/83 B.S. (2025/26 A.D.). It aims to identify structural weaknesses in revenue generation, expenditure allocation, and budget execution while addressing the need for a more equitable, growth-oriented, and sustainable fiscal framework. This study is expected to be useful to guide policymakers in aligning budget priorities with development goals, ensuring efficient use of resources, and strengthening economic resilience in the face of ongoing challenges.

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1. Executive Summary

Nepal's Fiscal system continues to face persistent inefficiencies that hinder both economic growth and social equity. The country's tax system is heavily reliant on consumption-based taxes like VAT and import taxes, which disproportionately affect the low-middle-income group, imposing them with relatively higher portion of income to be paid in taxes. On the other hand, the progressive taxes like income, profit, and wealth-based taxes contribute to significantly lower share of budget with around one-fifth of the total revenue. Moreover, tax compliance remains low due to a narrow tax base and existence of large informal economy.

On the expenditure side, a significant portion of the national budget—more than 60%—is spent on recurrent expenses such as salaries and administrative overheads, leaving limited fiscal space for capital and development spending. Even within the capital expenditure side, underutilization of the allocated budget remains persistent. National pride projects, meant to be transformative for Nepal's development, continue to suffer from delays, underfunding, and poor project execution, with many remaining incomplete despite under operation for decades. Meanwhile, debt servicing costs have increased, absorbing a substantial portion of borrowed funds and limiting resources available for productive investments.

To overcome these fiscal constraints, Nepal needs to shift its budgeting approach towards growth-oriented and inclusive fiscal policy. This involves reforming the tax structure and broadening tax base by encouraging production utilizing locally available resources, enhancing formalization of the economy and enforcing improved compliance in the intergovernmental fiscal transfers to control leakage of the allocated budget. Shifting the focus from import-based taxation to production-based taxation is crucial to prevent country from entering into crisis due to any external economic shocks. fostering domestic manufacturing would create a more stable revenue framework while reducing dependence on external assistance. Additionally, public-private partnerships should be encouraged to leverage financial and operational resources for large-scale development projects.

On the expenditure side, the government should prioritize investment in infrastructure, agriculture, education, and health—sectors, among others, that yield high returns in terms of employment and productivity. Emphasis must also be placed on climate-resilient infrastructure, digital innovation, and inclusive policies that reach marginalized and vulnerable populations. Improved execution of development projects through better planning, coordination, and transparency, along with prudent fiscal discipline to reduce internal borrowing, can help foster sustainable and inclusive economic growth. Strengthening intergovernmental fiscal relations and mobilizing domestic resources effectively will be key to financing development without crowding out private investment.

Furthermore, Facilitating the growth of private enterprises within priority sectors through financial assistance and subsidies—whether in cash or kind—while streamlining bureaucratic procedures and eliminating investment barriers, can serve as a compensatory mechanism for the government's

constraints in capital budgeting and expenditure. Similarly, the expansion of start-up loan programs would reinforce the participation of these private entities in high-value productive sectors, ultimately leading to an increase in tax revenue generation.

2. Introduction

This pre-budget analysis aims to provide a set of informed recommendations and critical insights to guide the formulation of the upcoming national budget 2082/83 B.S. (2025/26 A.D.). This study assesses the current structure of revenue and expenditure, identifies key challenges, and proposes a more equitable and sustainable fiscal approach. This will allow stakeholders—including policymakers, civil society, and the public—to evaluate past trends, anticipate future needs, and ensure that budget priorities align with national development goals and the economic realities of the country. In the context of Nepal, the economy is currently facing multiple challenges, including slow economic growth, trade deficit, heavy reliance on remittance, and growing fiscal pressure. Revenue mobilization remains heavily dependent on consumption and import-based taxes, while productive sectors continue to underperform. These issues highlight the urgent need for a budget that not only ensures economic recovery and resilience but also promotes fairness, inclusivity, and long-term fiscal sustainability.

3. Review of Current Macroeconomic and Financial Situation

As of the seven months ending mid-February 2024/25 A.D., Nepal's macroeconomic environment appears stable on the surface, yet deeper fiscal challenges highlight structural weaknesses. CPI-based inflation stood at 4.16 percent year-on-year, indicating manageable price pressures. The external sector performed well, with imports and exports rising by 10.1 percent and 46.5 percent respectively, and remittance inflows increasing by 7.3 percent. These developments supported a robust Balance of Payments surplus of Nepali Rupees (NPR) 284.41 Arba¹ and elevated foreign exchange reserves of USD 17.05 Arba. However, the fiscal indicators show more concerning results. Total government expenditure reached NPR 754.85 Arba, largely driven by recurrent spending (NPR 522.63 Arba), while capital expenditure remained disproportionately low at NPR 68.42 Arba—an ongoing trend that reflects the government's persistent inability to execute development budgets effectively. Despite revenue mobilization of NPR 642.85 Arba, including NPR 565.64 Arba in tax revenue, the significant gap between spending and revenue points to a widening fiscal deficit. This raises red flags about the sustainability of public finances and the effectiveness of fiscal policy. The heavy tilt toward recurrent and financial expenditures over capital investment suggests a short-term orientation in budget priorities, undermining long-term growth prospects. Additionally, weak project implementation capacity and bureaucratic inefficiencies continue to hamper the country's ability to translate budgetary allocations into tangible development outcomes.

¹ 1 Arba = 1 Billion

4. Structural Analysis of Nepal's Budget

4.1 Budget Summary (Status of Budget Balance)

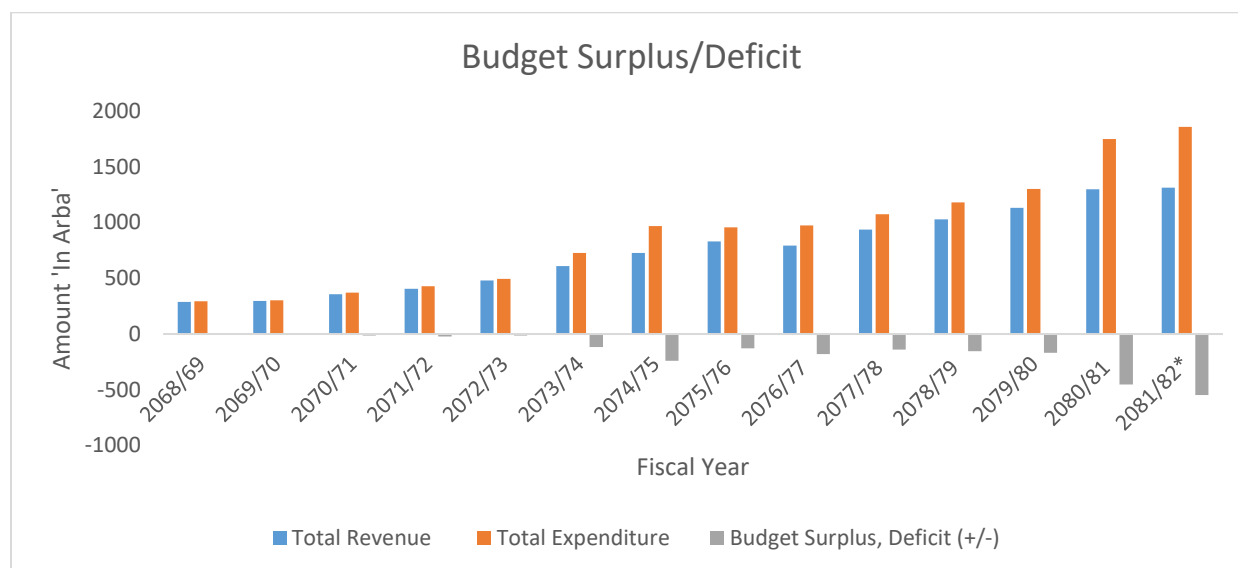


Figure 1: Budget Surplus/Deficit (Source: National Budget 2068/69-2081/82 B.S. (2011/12-2024/25 A.D.))

Figure 1 presents Nepal's fiscal performance from FY 2068/69 B.S. (FY 2011/12 A.D.) to the projected performance of FY 2081/82 B.S. (FY 2024/25 A.D.). Over this period, both total revenue and total expenditure have steadily increased. However, starting from FY 2071/72 B.S. (FY 2014/15 A.D.), the government has consistently recorded a budget deficit, where expenditure has outpaced revenue. This fiscal gap has widened over time, with the largest deficit of NPR 547.67 Billion projected in FY 2081/82 B.S. (FY 2024/25 A.D.), reflecting growing financial pressure in the country. The consistent rise in expenditure, particularly recurrent spending, without a matching increase in revenue, suggests structural weaknesses in fiscal management. To address this, the upcoming budget should focus on enhancing domestic revenue through tax reforms, better compliance, and expanding the tax base. Expenditure should be rationalized by prioritizing development projects that deliver high economic returns and reducing non-essential unproductive spending. Improving budget execution and project delivery is also critical to ensure funds are used efficiently.

4.2 Revenue Structure Analysis

Total Revenue and its Composition

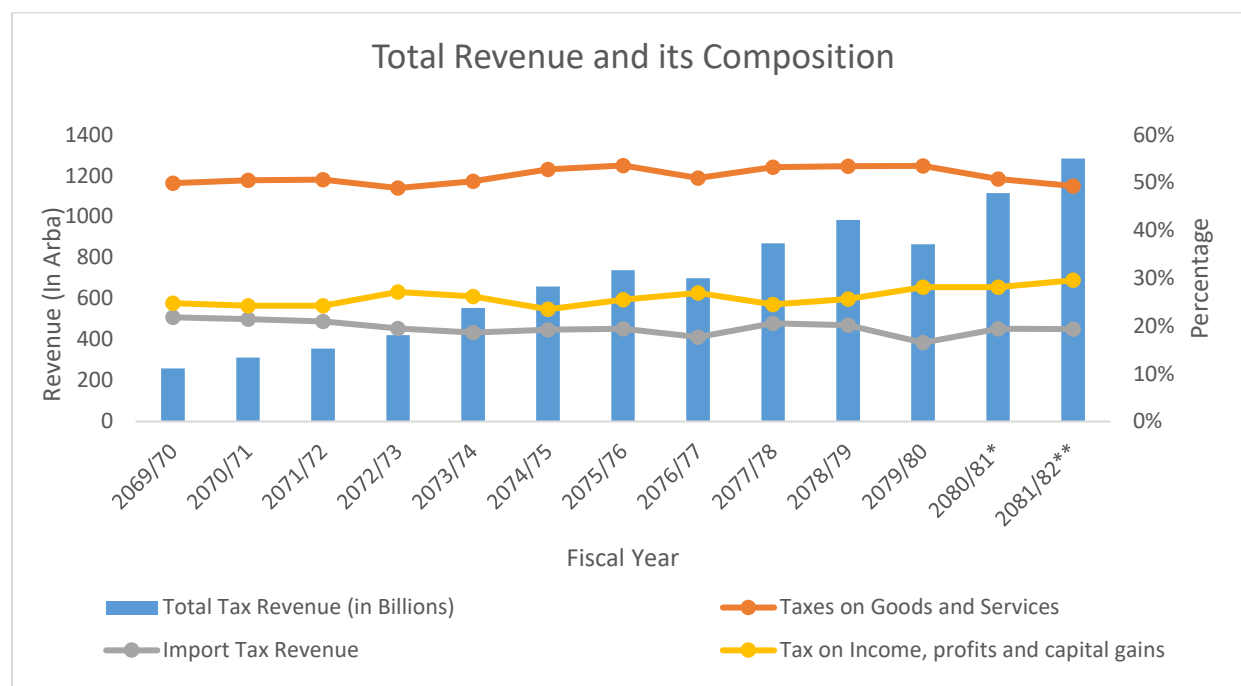


Figure 2: Total Revenue and its Composition (Source: National Budget 2068/69-2081/82 B.S. (2011/12-2024/25 A.D.))

Figure 2 shows percentage of tax revenue in the line graph and amount of revenue (in Arba) in the bar graph. The government’s increasing reliance on taxes on goods and services, which have consistently contributed over 50% of total tax revenue from fiscal year 2073/74 B.S. (FY 2016/17 A.D.) onward. These are primarily consumption-based taxes such as VAT and excise duties. While they are relatively easy to collect, they are also inequitable in nature placing a heavier burden on low-income individuals who spend a larger portion of their income on daily essentials. For example, both poor and rich households pay the same tax rate on basic goods, but this tax takes up a much higher share of a poor household’s income, reducing their purchasing power and reinforcing economic inequality. In contrast, taxes on income and profits—which include earnings from salaries, businesses, and investment gains—are progressive in nature, as they are based on an individual’s or company’s ability to pay. However, the graph shows that these direct taxes contribute far less than they potentially could, indicating a missed opportunity for equitable revenue generation. Additionally, import-based taxes have remained stagnant, and relying heavily on them is unsustainable in the long term, especially with changing trade patterns, global supply chain shifts, and domestic production growth. A revenue model that depends too much on imports is also vulnerable to external shocks and trade disruptions. To create a fair, stable, and future-ready tax system, the upcoming national budget should aim to diversify revenue sources— increasing

tax on domestic product broadening the tax base, increasing the share of income, profit, and investment-related taxes, improving compliance and enforcement, and gradually reducing overreliance on both consumption-based and import-based taxes. This will help reduce inequality, enhance economic resilience, and promote long-term fiscal sustainability.

4.3 Expenditure Priorities

Trend of Expenditure-wise Distribution of Budget

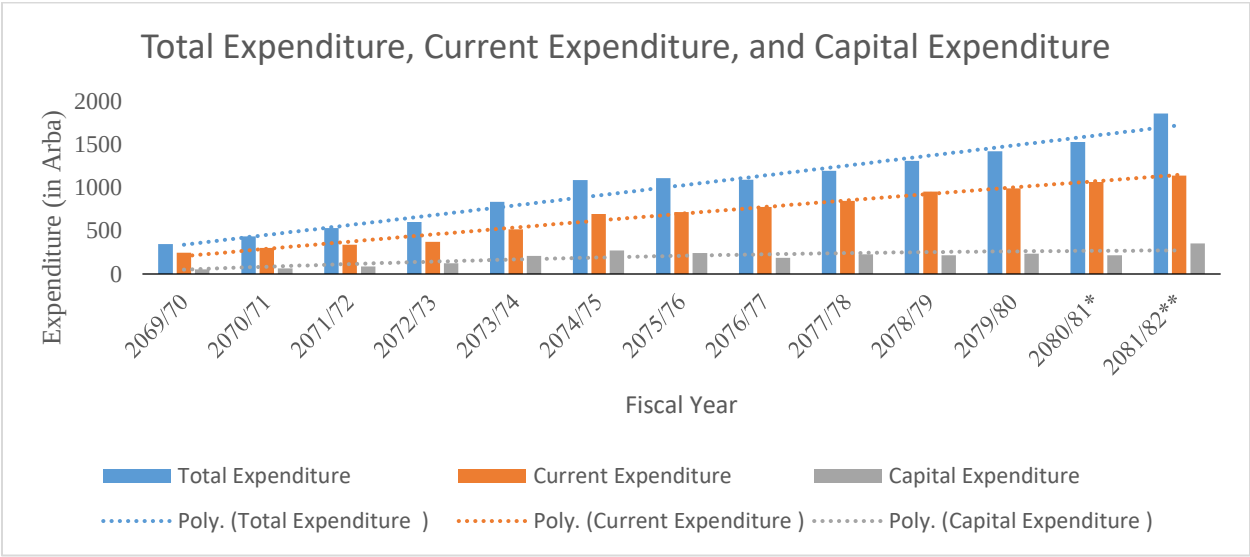


Figure 3: Total Expenditure, Current Expenditure, and Capital Expenditure (Source: National Budget 2068/69-2081/82 B.S. (2011/12-2024/25 A.D.))

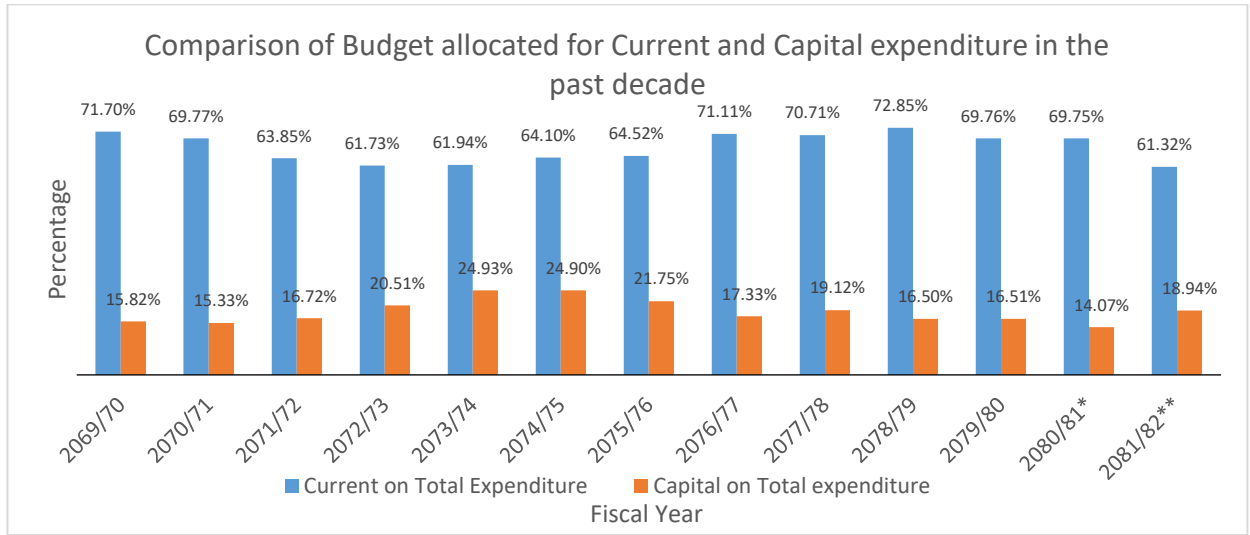


Figure 4: Composition of Budget (Source: National Budget 2068/69-2081/82 B.S. (2011/12-2024/25 A.D.))

Over the past decade, Nepal's budget has grown from NPR 3.45 Kharba² in the year 2069/70 B.S (FY 2012/13 A.D.) to the estimated amount of NPR 18.60 Kharba in the year 2081/82 B.S. (2024/25 A.D.). The nature of the budget structure based on expenditure has remained almost uniform over the last decade. The proportion of current expenditure and capital expenditure in total expenditure is clearly observable (in **Figure 3 and Figure 4**), as well as the gap between these expenditures. The data shows that less than 25% of the total budget has been allocated for the capital expenditure since the past decade, while the allocation for the current expenditure has shown remarkable growth during the period. The same trend is seen to be continued for the fiscal year 2081/82 B.S. (2024/25 A.D.), where the allocated budget for current expenditure is more than three times the budget allocated for capital expenditure.

4.4 Trend of Sector-wise Expenditure of Budget

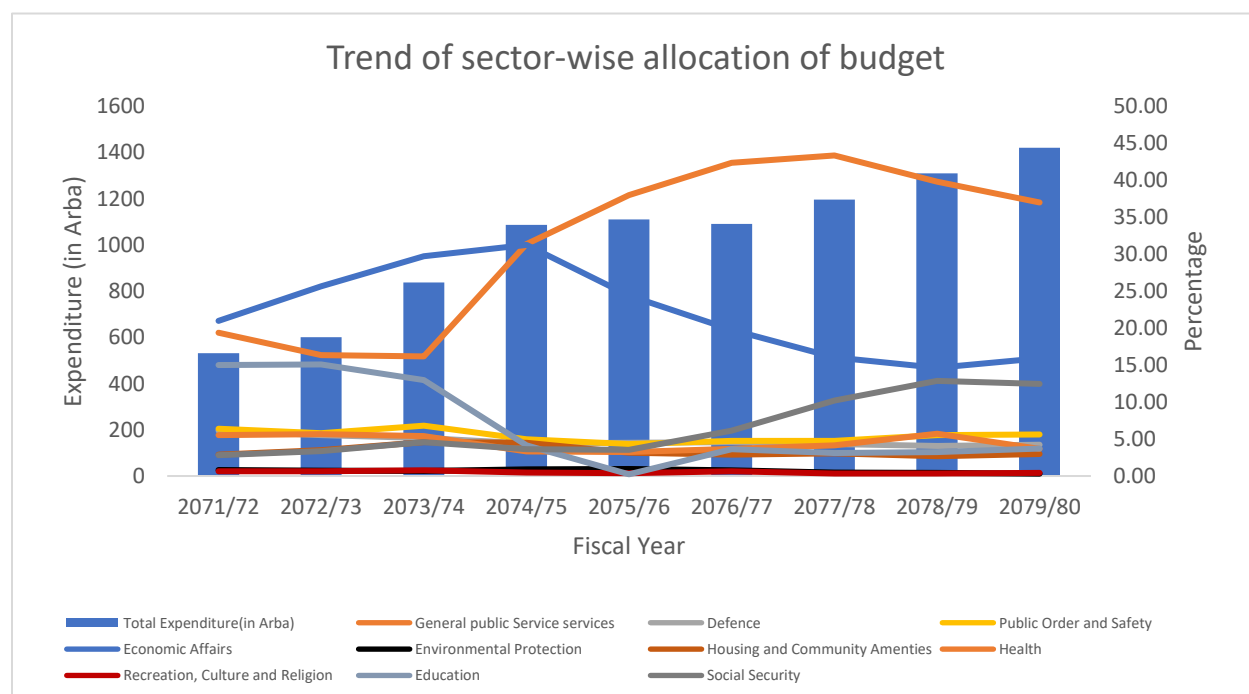


Figure 5: Trend of sector-wise allocation of budget (Source: Economic survey 2080/81 B.S (2023/24 A.D.))

Figure 5 represents the percentage of budget allocated in the line graphs and the amount of expenditure in the bar graph. Figure explains that over the past decade, Nepal's sector-wise budget expenditure has seen notable shifts, reflecting changing national priorities and fiscal pressures. Spending on General Public Services rose sharply from FY 2075/76 B.S. (FY 2018/19 A.D.) to

² 1 Kharba = 100 Arba = 100 Billion

2077/78 B.S (2020/21 A.D.), accounting for over 40% of total expenditure during that period. This surge might have been driven by increased costs related to governance, public administration, and debt servicing. However, till Falgun of FY 2081/82, this share has reached to 19.9%, as suggested by the economic survey. Similarly, the Economic Affairs sector, which includes infrastructure and development projects, saw relatively high expenditure in earlier years (over 30% in FY 2074/75 B.S (FY 2017/18 A.D.)) but has been declining steadily since then. Meanwhile, spending on Defense, Public Order, and Environmental Protection remained relatively low and stable. Notably, Social Security spending increased considerably over time, reaching 12.87% in FY 2078/79 B.S (FY 2021/22 A.D.).

Based on the observed expenditure trends, it is recommended that the upcoming budget rationalize its spending on General Public Services, which has consistently consumed a disproportionately large share of the budget, by streamlining administrative costs and enhancing operational efficiency. At the same time, increased investment in health, and education is necessary to support long-term human capital development and sustainability, given their persistently low budget shares.

4.5 Review of Mid-term Evaluation of Budget 2081/82

As of Poush 2081 (mid-January 2025), Nepal's sector-wise and ministry-wise budget execution data reveals persistent challenges in effective public spending, particularly in key development sectors. Despite substantial budget allocations, actual expenditures have remained significantly low in areas critical for economic growth and public welfare. For example, only 20.37% of the budget allocated for Economic Affairs has been spent, indicating sluggish progress in infrastructure and development projects. Environmental Protection and Housing and Community Services are even more concerning, with utilization rates of just 7.25% and 12.04% respectively, pointing toward major implementation delays and possible institutional inefficiencies. On the other hand, sectors like Defense (45.89%) and Public Peace and Defense (47.01%) have shown relatively high spending efficiency, while the General Public Service sector—primarily covering administrative and operational functions—has already used 42.07% of its budget. This trend highlights a worrying imbalance where recurrent operational expenses are being prioritized over transformative development expenditures. Even core human development sectors such as Health (37.14%), and Social Security (36.60%) remain underutilized.

Ministry-wise expenditure patterns reinforce these concerns. Only the Ministry of Foreign Affairs had utilized more than half (50.64%) of its allocated budget by the end of Poush 2081 (mid-January 2025). Most other ministries fell well short of this mark, with the Ministry of Industry, Commerce, and Supplies (MoICS) showing the lowest spending rate at just 7.62%. This is particularly alarming considering the industrial sector's importance in reducing Nepal's trade imbalance and fostering export growth. The lack of budget execution in this ministry could severely hamper

industrial development and economic competitiveness. Likewise, ministries such as Urban Development (11.2%) and Labour, Employment, and Social Security (14.08%) have shown minimal progress in budget utilization, hinting at possible bureaucratic bottlenecks or lack of preparedness. Meanwhile, comparatively better performance was recorded by ministries such as Defense (46.39%), Education, Science and Technology (43.25%), and Home Affairs (41.41%). These figures collectively point to a recurring structural issue in Nepal’s public financial management system—where planning and budgeting are not adequately aligned with implementation capacity. To address this, there is an urgent need for enhanced project planning, improved execution mechanisms, and stronger institutional accountability to ensure that budgeted resources are efficiently used to meet national development priorities.

5. Analysis of Debt and Development Assistance

5.1 Debt Collection and Debt Servicing Expenses

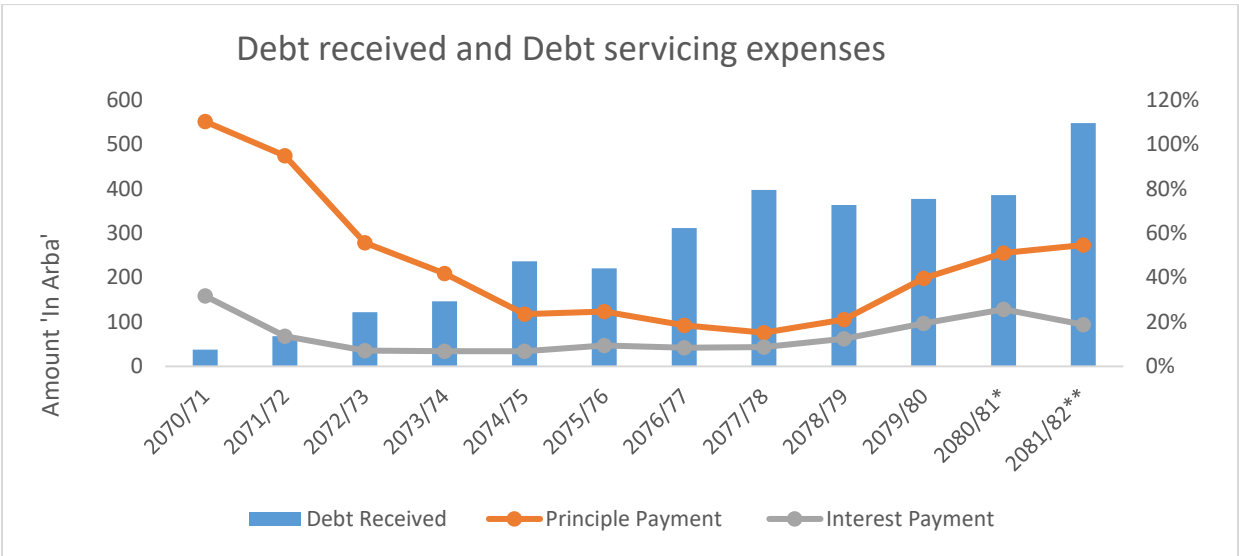


Figure 6: Debt collection and debt servicing expenses (Source: National Budget 2068/69-2081/82 B.S. (2011/12-2024/25 A.D.))

The data (**Figure 6**) represents the amount (in Arba) in the bar diagram and percentage in line graph. The data indicates that a substantial portion of received debt is being consumed by debt servicing, leaving only a small share for productive use. In the fiscal year 2079/80 B.S. (2022/23 A.D.), 40% of the debt was allocated to principal repayment and 19% to interest payments, leaving just 41% for development purposes. This trend continues, with projections for 2080/81 B.S. (2023/24 A.D.) showing 51% for principal and 26% for interest payments, and 55% and 19% respectively in 2081/82 B.S. (2024/25 A.D.). These figures highlight a concerning pattern where the majority of borrowed funds are not contributing to productive or developmental activities. It is therefore recommended that future debt be strategically directed toward high-impact, revenue-

generating projects, while efforts are made to minimize debt servicing costs to ensure more efficient and beneficial use of borrowed resources.

5.2 Trend of Debt Structure in Nepal

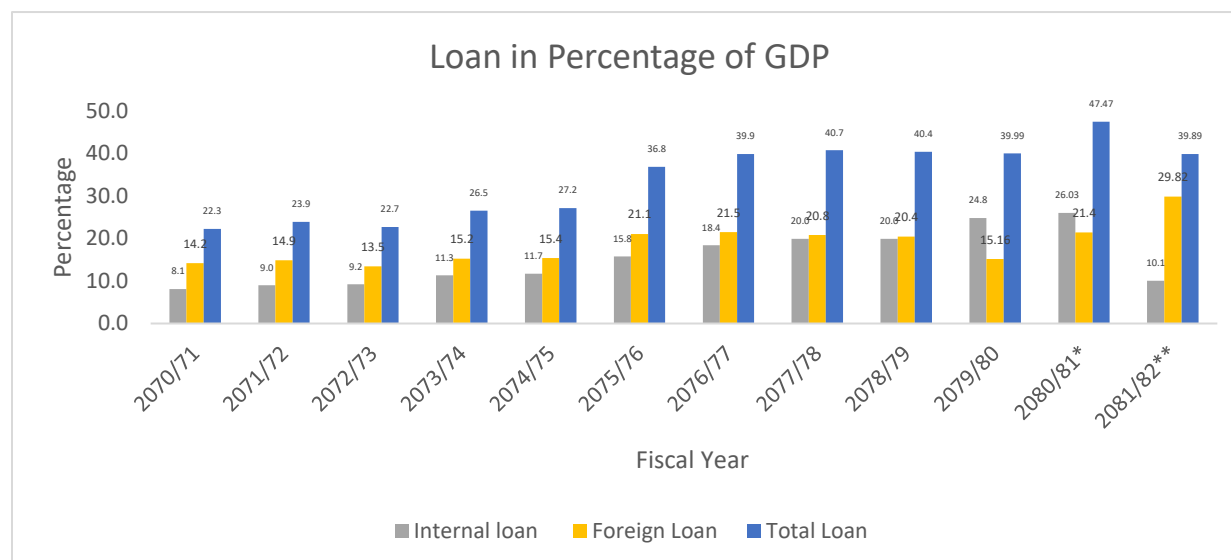


Figure 7: Trend of Debt Structure in Nepal (Source: Economic Survey FY 2081/82 B.S (FY 2024/25 A.D.))

Figure 7 reveals that Nepal's total outstanding debt as a percentage of GDP has followed an overall rising trend from FY 2070/71 B.S (FY 2013/14 A.D.) (22.3%) to a peak of 47.47% in FY 2080/81 B.S (FY 2023/24 A.D.) (revised estimate), before a projected slight decline to 39.89% in FY 2081/82 B.S. (2024/25 A.D.). Both internal and external borrowing have increased over time, with a notable targeted surge in external loans in FY 2081/82 B.S. (2024/25 A.D.) (29.82% of GDP) compared to internal loans (10.1%). Since FY 2076/77 B.S. (FY 2019/20 A.D.), the debt-to-GDP ratio has consistently remained around 40%, raising concerns about fiscal sustainability, especially as a substantial share of the borrowed funds is being absorbed by debt servicing rather than development or capital formation. This pattern indicates limited returns on borrowing and a growing structural dependency on debt. To ensure long-term fiscal health, Nepal should prioritize enhancing domestic revenue generation by reforming tax policy, improving compliance, and widening the tax base. Simultaneously, borrowed resources must be strategically allocated to productive sectors such as infrastructure, education, and health, which can stimulate economic growth and improve the government's future repayment capacity.

5.3 Status of Development Assistance and Gaps

Estimate of Development Assistance Mobilization in Past Five Years (NPR in crores)

Table 1: Estimate of Development Assistance mobilization in past five years (NPR in crores³) (Source: Economic Survey, 2081/82 B.S (2025/25 A.D.))

Fiscal Year	2077/78	2078/79	2079/80	2080/81	2081/82
Foreign Grant	6052	6337	5546	4994	5233
Foreign debt	29950	30929	24226	21275	21767
Total	36002	37266	29772	26269	27000
Total Budget	147464	164757	179383	175131	186030
Percentage of development assistance in total budget	24.41	22.62	16.60	15.00	14.51

The share of development assistance in Nepal's national budget has been decreasing over the last five years, even though the amount of such development assistance is increasing every year. This decline might be linked to the country's limited credibility among international donors and lenders Nepal recently received a BB- credit rating from Fitch Ratings Ltd., which is a positive step, as it previously lacked an independent credit rating—hindering access to foreign loans and debt. However, Nepal's inclusion in the FATF grey list raises serious concerns about the misuse of funds for money laundering or terrorist financing. Being on this list may further reduce the inflow of development assistance.

To improve the situation, Nepal must take strict measures to ensure foreign assistance is properly managed and utilized. Since much of the assistance is used for paying off debts, it is crucial to focus these resources on projects that contribute to the country's development. Such assistance must be strategically utilized in order to ensure sustainable effect of such funds.

6. Progress of National Pride Projects

Table 2: Budget Allocation for National Pride Projects (Source: Mid-term evaluation of National Budget 2081/82 B.S. (2024/25 A.D.))

	Current	Capital	Fiscal Transfer	Total
Allocated Budget for FY 2081/82 B.S. (2024/25 A.D.) (in crore NPR)	2686.1	63253.5	755.2	66694.8
Expenditure Incurred	1213.9	15939.3		17153.2
Percentage of expenses incurred	45.20	25.20	0.00	25.72

³ 1 crore = 10 million

Table 3: Status of National Pride Projects (Source: Mid-term evaluation of National Budget 2081/82 B.S. (2024/25 A.D.))

Name of the project	Area/length	Project commencement year (B.S.)	Project completion year	Revised project cost (in crores)	Expenditure till 2080/81	Physical progress till 2080/81 (%)	Years of implementation
Pushpalal (Mid-Hill) Highway project	1879 KM	2064/65	2084/85	8433	6896	77.32	17
Hulaki Highway	1857 KM	2066/67	2083/84	6520	6400	66.09	15
North-south lokmarga (Koshi corridor)	162 KM	2065/66	2083/84	1620	549	45.00	16
Khandbari-Kimathanka (chyangtang-ghongpa) road	10.51 KM	2077/78	2081/82 B.S. (2024/25 A.D.)	62.9	50.70	80.85	4
Kaligandaki corridor (Gaidakot-ramdi-malhunga)	293 KM	2065/66	2084/85	200	11.77	65.00	16
Kaligandaki corridor (Beni jomsom korala)	202 KM	2066/67	2082/83	1000	138.01	84.00	15
North-South (Karnali corridor) Hilsa simikot	145 km	2065/66	2083/84	666	172.05	30.00	16
lalibagar dullikunna and ghat parichaur badrigaun	22.05 KM	2078/79	2082/83	113.82	53.37	72.56	3
Metro train and monorail development project	70 KM in progress out of 1003 KM	2065/66	2086/87	95522	3218.91	5.00	16
Kathmandu-Terai/ Madhesh fasttrack	70.977 KM	2073/74	2085/86	21193	6709.00	35.38	8
Pokhara Regional International Airport	2500m x 45 m(Runway)	2074/75	2079/80	2200	2200.00	100.00	7
Nijgadh International Airport	8045 Hectares	2071/72	2085/86	16500	98.55	0.00	10
Lumbini Development Fund	1155 Bigaha	2069/70	2082/83	1326	1901.10	95.00	12
Pashupati Area Development Fund	Pashupati Area	2070/71	Continuous	227	830	88.00	11
Budigandaki Hydropower project	Dhading and Gorkha 1200 MW	2069/70	2085/86	39802	4288	0.00	12
West Seti Hydro		proposed 2025	proposed 2030	USD 1320	-	-	-
Babai Irrigation project	32000 hectaress	2045/46	2082/83	1896.3	1343.92	72.22	36
Mahakali irrigation project	3520 hectares	2063/64	2087/88	350	776.55	22.18	18
Sikta irrigation project	42766 hectares	2061/62	2089/90	5289	2148.00	41.58	20
Rani jamara kulariya irrigation project	38300 hectares	2067/68	2082/83	2770.24	2005.30	74.36	14
Bheri Babai Diversion multipurpose project	51000 hectares irrigation, 46.8 MW electricity	2068/69	2084/85	3680.77	1649.00	65.80	13
sunkoshi marine Diversion multipurpose project	122000 hectares irrigation, 28	2073/74	2085/86	4619.39	1530.00	34.40	8

	MW electricity						
President chure protection programme	1856255.9 hectares	2071/72	2093/94	24970.02	2064.78	100.00	10
Melamchi drinking water project	17 crore litres drinking water in Kathmandu valley	2055/56	2085/86	3136	3055.79	98.45	26
yangri larke river diversion					132.92	8.66	26
Millenium Challenge Account (MCA) Nepal	Electricity transmission project, road maintenance project	2074/75	2085/86	USD 69.70	747.77	8.08	7
Upper Tamakoshi hydropower project	456MW	2067/68	2077/78	3529	Completed	100.00	14
Gautam Buddha International Airport	3000mx45m runway	2072/73	2078/79	682	663.00 completed	100.00	9
Mulpani cricket Academy and stadium		2081/82	not decided				0
Girija Prasad Koirala Cricket Stadium		2081/82	not decided				0
Gautam Buddha International Cricket Stadium		2081/82	not decided				0

Among the 27 national pride projects initiated in Nepal, the government has allocated funds for 19 projects for the FY 2081/82 B.S. (FY 2024/25 A.D). Four projects—Upper Tamakoshi Hydropower Project, Gautam Buddha International Airport, Pokhara Regional International Airport, and Melamchi Drinking Water Project—have been successfully completed, marking significant milestones. However, most national pride projects have been ongoing for over a decade, with many facing critical delays and insufficient progress. For example, the Budigandaki Hydropower Project, started in FY 2069/70 B.S (FY 2012/13 A.D), remains at 0% progress despite NPR 42.8 Arba being spent entirely on land compensation, while the project’s total estimated cost is NPR 390 Arba. Similarly, the Metro Train and Monorail Development Project, which commenced in FY 2065/66 B.S. (FY 2008/09 A.D.) with a revised estimated cost of NPR 950 Arba, has achieved only 5% progress. Prolonged implementation challenges are also evident in projects like the Babai Irrigation Project, which has been active for 36 years Moreover, insufficient funding poses significant obstacles, as seen in the Kathmandu-Terai Fast Track project, which has an estimated cost of NPR 211 Arba but has received only NPR 22 Arba in allocations for FY 2081/82 B.S. (2024/25 A.D.).

For FY 2081/82 B.S. (2024/25 A.D.), the government allocated a total budget of NPR 66.6 Arba for 19 National Pride Projects—a sum that is inadequate for ensuring meaningful progress in development. Revising annual budget allocations to meet project-specific requirements is crucial, especially for large-scale undertakings like the Kathmandu-Terai Fast Track. Enhanced monitoring and accountability mechanisms should be implemented to oversee project progress and ensure efficient use of funds. Public-private partnerships could be encouraged to share financial and operational responsibilities, particularly for ambitious projects like the monorail system.

Additionally, dividing lengthy projects into manageable phases could help avoid prolonged delays and ensure steady progress. By adopting these strategies, the government can optimize resources, address inefficiencies, and ensure the timely completion of national pride projects, fostering public trust and advancing national development.

7. Distribution of Employment Across Formal and Informal Sectors in Nepal

Table 4: Distribution of Employment Across Formal and Informal Sectors in Nepal (Source: Nepal Labor Force Survey 2017/18 A.D.)

Sector of employment	Male	Female	Total	Male	Female	Total
	Thousands			Percent		
Total	4446	2640	7086	100	100	100
Formal	1792	884	2675	40.3	33.5	37.8
Agriculture	58	32	90	1.3	1.2	1.3
Non- Agriculture	1734	852	2586	39	32.3	36.5
Informal	2655	1756	4411	59.7	66.5	62.2
Agriculture	595	839	1434	13.4	31.8	20.2
Non- Agriculture	2035	869	2904	45.8	32.9	41
Private households	25	48	73	0.6	1.8	1

Nepal's labor market is dominated by informal employment, with over 62% of workers engaged in informal sectors (**Table 4**) while only 37.8% are formally employed. This overwhelming informality significantly constrains the country's ability to mobilize domestic resources, as most informal workers and businesses operate outside the formal tax system and lack proper registration or income documentation. Formal employment, which is the main source of direct tax revenues such as personal income tax and payroll contributions, remains limited. As a result, Nepal's tax base remains narrow and heavily reliant on indirect taxes. To improve tax collection and fiscal sustainability, the upcoming national budget should prioritize a transition from informal to formal employment by incentivizing business registration, simplifying tax compliance for micro-enterprises, and linking formalization with social protections and access to credit.

8. Key Issues and Challenges

a) Overreliance on Consumption-based Taxation

Nepal's tax revenue structure heavily relies on taxes levied on consumption goods and services, rather than revenue generated from productive sources. These taxes are the consumption-based taxes, which disproportionately affect low-income groups. Over the past decade, nearly half of the country's revenue has come from these indirect taxes, while approximately one-fifth has been derived from import taxes, including customs duties. In contrast, only about one-fourth of the total

revenue is generated from taxes on income, profits, and gains, which directly contribute to the national economy. This imbalance in revenue composition poses a significant risk, as it remains vulnerable to external shocks or crises that could lead to financial instability.

b) Imbalance between Recurrent and Capital Expenditure

Nepal's budget structure has long been skewed toward recurrent expenditure, limiting fiscal flexibility and investment-driven growth. With over 60% allocated to salaries, pensions, and administrative costs, the government faces challenges in budget sustainability, often relying on borrowing to bridge revenue gaps—ultimately increasing the national debt burden. Meanwhile, capital expenditure remains underfunded, hindering critical infrastructure projects such as roads, energy, and industrial development, which are essential for long-term economic progress. This imbalance slows productivity gains and reduces incentives for private sector investment. To shift toward an investment-led approach, Nepal must prioritize capital investment in sectors like transportation, energy, and education while optimizing recurrent spending to enhance budget efficiency.

c) Poor Budget Execution and Low Capital Spending

While there is already low portion of budget allocated for the capital expenditure, spending of the allocated budget remains critically low. This inefficiency stems from several structural challenges, including delays in project implementation and capacity constraints at both federal and local levels. Nepal struggles to translate budgetary commitments into tangible economic growth, limiting infrastructure development and long-term investment opportunities.

d) Lack of Transparency in Execution of Budget and Huge Budget Leakage

Nepalese budget execution lacks transparency, particularly in the distribution and utilization of funds among the different tiers of government. The absence of a clear and accountable mechanism for budget flow often results in delays, misallocation, and underutilization of funds, especially in capital formation and infrastructure development projects. Despite allocations being made on paper, the actual transfer of resources is frequently delayed, impeding the timely initiation and completion of key development initiatives. Moreover, the existing bureaucratic procedures for approval and fund mobilization are lengthy and complex, further hindering effective budget execution. This opacity in budget handling not only undermines fiscal discipline but also erodes public trust in the government's ability to deliver services efficiently. To address these challenges, the upcoming budget should prioritize the establishment of transparent and streamlined mechanisms to ensure timely and accountable fund disbursement across all levels of government.

e) **Inefficiency in Execution of National Pride Projects**

Despite being designated as National Pride Projects, the implementation of these initiatives has been plagued by inefficiencies, primarily reflected in low budget utilization and prolonged execution timelines. In FY 2081/82 B.S. (2024/25 A.D.), only 25.72% of the allocated budget has been utilized till the end of Poush 2081 (Mid-January 2025 AD), with capital expenditure lagging at 25.20%, indicating persistent delays in project execution. Several key infrastructure projects, such as the Pushpalal (Mid-Hill) Highway, Hulaki Highway, and Kaligandaki Corridor, have been under construction for more than 15 years, yet still require significant investment to reach completion. Similarly, large-scale hydropower projects like Budhigandaki Hydropower face substantial delays, with zero physical progress recorded despite budget allocations. The Kathmandu-Terai/Madhesh Fast Track, a crucial connectivity project, has achieved only 35.38% physical progress in eight years, highlighting implementation bottlenecks. Additionally, airport development projects like Nijgadh International Airport have failed to utilize resources efficiently, with 0% recorded expenditure, despite being prioritized for national development.

f. Lack of Prioritization of Investment and Entrepreneurship in Budget: Nepal's budget for FY 2081/82 B.S. (FY 2024/25 A.D.) has allocated NPR 100 crores for start-ups, but this amount remains insufficient to significantly drive entrepreneurship and production. Meanwhile, the state of Foreign Direct Investment (FDI) continues to be concerning. The budget does not effectively promote private investment—whether domestic or foreign—posing challenges for business growth and economic progress. Without stronger policy measures to foster a more investment-friendly environment, Nepal may struggle to unlock its full economic potential.

9. Recommendations

a. **Broaden Tax Base through Enhancing Production Capacity and Encouraging Formalization of the Economy:**

More than half of Nepal's revenue is derived from taxes on goods and services, and nearly one-fifth comes from import duties, while only about 30 percent is generated from taxes on production, taxes on income, profits, and capital gains (**Figure 2**). This distribution reveals that the contribution of domestic production including both goods and services to national revenue is relatively low, highlighting the need to strengthen the country's production capacity. Therefore, the upcoming budget should prioritize investments that enhance productive sectors to broaden the tax base. This can be done by introducing budget to facilitate Foreign Direct Investment in key areas of production.

Meanwhile, data from **Table 4** shows that 62.2 percent of employment in Nepal is informal, meaning these workers are not registered and fall outside the tax system. This significantly limits the scope of direct taxation, particularly income tax. Promoting the formalization of informal workers and integrating them into the tax system would play a vital role in expanding the tax base and improving revenue mobilization.

Furthermore, it is necessary to strengthen Compliance by digitizing tax administration to curb evasion and expand the taxpayer registry through mandatory PAN enrollment for businesses and professionals and streamline rates to reduce complexity.

- b. Enhance Capital Budget Allocation and Rationalize Expenditure:** Since FY 2012/13 A.D., capital expenditure has consistently remained below 25% of the national budget, indicating a disproportionate allocation toward recurrent and expenditures. This pattern limits contributions to the country's physical and economic development. To drive meaningful progress, budget allocations must prioritize infrastructure and economic growth, ensuring a capital-driven approach. Achieving this requires broadening revenue sources while maintaining strict monitoring and compliance to enhance fiscal efficiency.
- c. Ensure Transparency in Budget Execution and Control Leakage:** There is a huge opacity in budget execution and leakage of budget in Nepal. To resolve this issue, the upcoming budget should propose the mechanism to ensure transparency in the flow of budget among the tiers of government. Proper and timely handover of the allocated budget should be ensured so that the capital formation and infrastructure development- related projects can be initiated and completed in timely manner. Bureaucratic chain and approval processes must be made as short and easy as possible so that the funds could be mobilized in timely manner and the budget execution is effective.
- d. Prioritize Completion of the Projects on the Basis of Urgency:** The study reveals that many national pride projects have been ongoing for decades without reaching completion. Of the 27 projects assessed, 20 have been in operation for over ten years, indicating significant delays in their execution. Various factors are likely contributing to these extended timelines. To address this, it is recommended that projects be prioritized based on their necessity and urgency. The most critical projects should be expedited, with budget allocations tailored to ensure their efficient progress. It is recommended that the government prioritize projects based on urgency, economic impact, and feasibility while allocating significant resources to high-priority initiatives. The analysis suggests that the budget for national pride projects should be allocated based on their priority, rather than spreading resources thinly across numerous initiatives. The upcoming budget should focus on prioritizing a selected number of projects and ensuring they receive sufficient fund to complete within the stipulated timeframe. This approach will promote significant progress on key projects, ensure their timely completion, and enable resources to be allocated to other projects in later stages.
- e. Formulation of Growth-oriented Budget:** The budget should prioritize growth over consumption, with a substantial allocation dedicated to infrastructure development, including energy, transportation, and digital connectivity. Likewise, it must emphasize industrial expansion

and provide support for start-ups. The FY 2081/82 B.S. (FY 2024/25 A.D) budget highlights initiatives to foster a start-up ecosystem in Nepal, alongside plans for establishing a business incubation center. These efforts should be prioritized to drive economic growth. Additionally, the budget must promote agricultural modernization through targeted subsidies, improved storage facilities, and strengthened market linkages.

- f. Prioritize The Enhancement of Human Capital:** Figure 5 highlights a concerning trend where essential sectors such as health and education receive some of the lower shares of the national budget, despite their critical role in the well-being of citizens and the development of human capital. Both sectors are directly linked to the nation's growth and prosperity, as a healthy and educated population is key to driving economic development and social progress. The persistent underfunding of these sectors over the past decade is troubling and warrants immediate attention in the upcoming national budget.

This study strongly recommends a significant, outcome-focused allocation of funds to the health and education sectors in the next budget. By prioritizing substantial investment in these areas, the government can strengthen the public health and education systems, laying the groundwork for long-term national development. It is essential that the budget not only reflect increased funding but also focus on measurable results, ensuring that resources are effectively utilized to achieve meaningful improvements. This approach will enhance the quality of life for citizens, build a stronger human capital base, and support sustainable socio-economic growth.

- g. Shift towards Production-based Taxation:** To foster a shift towards production-based taxation, Nepal should gradually reduce its reliance on consumption taxes, such as VAT, customs duties, and excise taxes. This can be achieved by incentivizing domestic production through strategic tax policies. Lowering taxes on raw materials, intermediate goods, and machinery would encourage local industries to scale up production and reduce dependence on imports. Additionally, offering tax credits for industries that demonstrate significant value addition within Nepal could stimulate growth and innovation. Strengthening the profit tax, property tax, and capital gains tax regimes would help diversify revenue sources while maintaining fairness in taxation, which is a sustainable source of revenue. Furthermore, customs policies should be reformed to prioritize the import of production inputs over luxury consumption goods, ensuring that the focus remains on fostering industrial growth. Finally, simplifying tax compliance for small producers would encourage formalization, broadening the tax base and improving overall economic stability.

- h. Scale-up Start-up Enterprise Loan:** In the fiscal year 2081/82 B.S. (2024/25 A.D.), the Government of Nepal allocated NPR 1 billion under the national budget to support emerging startups. This initiative allows eligible entrepreneurs to access loans of up to NPR 2.5 million at a concessional interest rate, with a repayment tenure of five years. As per the notice issued by the Industrial Enterprise Development Institute (IEDI), a total of 5,185 applications had been

submitted through both online and physical channels as of 31st Bhadra 2081 B.S. (16th September 2024 A.D.).

While this initiative is a positive step toward fostering entrepreneurship and innovation, the allocated amount of NPR 1 billion appears inadequate in light of the overwhelming number of applicants. The high level of interest demonstrates a strong entrepreneurial spirit in the country, which, if supported adequately, could contribute significantly to national economic growth. Expanding the fund would enable more startups to access critical early-stage financing, thereby promoting job creation, enhancing GDP, and increasing national revenue through taxation of successful enterprises.

- i. Prioritize Internal Resource Mobilization rather than Internal Debt Mobilization:** Figure 7 illustrates the debt-to-GDP ratio of Nepal over the past decade, revealing a rising trend in the country's overall debt burden. Notably, internal debt has constituted an increasingly significant portion of total public debt in recent years. This growing reliance on domestic borrowing raises concerns about a potential crowding-out effect, where the availability of investable funds for the private sector may diminish as government borrowing intensifies.

If not utilized efficiently, this accumulation of internal debt could hinder rather than support national development. To address this, the government should prioritize the mobilization of internal resources—such as natural, human, and intellectual capital—by allocating budgetary resources toward their skill development. This approach may involve increased financing for domestic production, expanded agricultural subsidies, and the establishment of effective marketing channels for locally produced agro-based and non-agro-based goods. Strategic investment in these areas can foster sustainable economic growth while reducing overdependence on debt financing.

- j. Promote Sustainable and Inclusive Development:** To promote sustainable and inclusive development, Nepal's upcoming budget must address critical underinvestment in environmental protection and climate resilience. Historically, less than 1% of the national budget has been allocated to environmental priorities, despite the country's high vulnerability to climate change and natural disasters. The government should significantly increase funding for climate adaptation, renewable energy, pollution control, and disaster preparedness. Infrastructure development must also be sustainable, climate-resilient, and aligned with long-term usability, with stronger integration of environmental standards and public-private partnerships.

In addition, the budget should prioritize high-impact sectors like agriculture, ICT, and digital innovation, which have the potential to drive employment and economic growth. Investments should focus on improving irrigation, expanding agricultural subsidies, supporting smallholder market access, and fostering digital infrastructure and tech entrepreneurship. Furthermore, the budget must ensure inclusion by targeting marginalized communities—such as women, rural populations, and indigenous groups—with equitable access to services and opportunities.

Strengthening governance, environmental monitoring, and implementation accountability will be essential for translating budget commitments into meaningful development outcomes.